Non-Banks and Credit to Businesses in India

Outstanding credit to businesses from all non-banks was around Rs 30 lakh crore, less than half the credit provided to businesses by banks.

Among non-banks, NBFCs are major providers of credit to businesses in India. Gross outstanding credit by NBFCs as on 30 September 2020 to businesses was in the order of Rs 25.5 lakh crore. About two-thirds of non-bank credit to businesses comes from NBFCs. The rest flows from HFCs (to real-estate companies/builders), LIC (loans to some companies and investment in their corporate bonds), MFs (loans against shares, etc.) and investment by retirement-savings organizations, FPIs and savers directly in corporate bonds.

HFCs primarily provide loans to households with some accommodation to real-estate businesses. Total loans and advances of HFCs amounted to Rs 11.97 lakh crore as on 31 March 2020.

The insurance companies, mostly LIC, find much more comfort in routing their credit to public-sector entities and authorities like NHAI, HUDCO and others.

NBFCs' credit to businesses was growing at a much faster rate than banks before the IL&FS blowout. They were able to leverage cheaper resources from mutual funds. They are also able to reach businesses that mainstream banks find difficult or costlier to reach. Further, NBFCs are not restrained in providing credit to certain sectors like real estate, unlike banks. What's more, they are digitally nimble and have a much lower cost of doing business.

NBFCs do not have access to a steady resource of deposits from households. They do raise some borrowings in the form of long-term debentures. However, the bulk of their resources comes from credit provided by banks and other players in the financial landscape, like MFs. NBFCs had seen their access to such funds becoming costlier (spreads had risen sharply) and in some cases totally denied in the wake of the ILFS